NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY

FACULTY OF COMMERCE

DEPARTMENT OF ACCOUNTING

STUDY GUIDE FOR ADVANCED AUDITING CAC 4103

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COURSE CODE AND TITLE: CAC 4103: Advanced Auditing

PRE-REQUISITE: CAC 2103 Audit Skills and

CAC 2203 Audit Process

Topic	Learning Unit	Study outcomes **After having worked through this learning unit you must be able to …**	Study material	Examinable Pronouncements
Introduction / the auditor and the audit environment	The auditor and the audit environment	- Explain the objectives of and the general principles governing an audit of financial statements - Briefly explain the Fundamental Principles of Auditing Theory - Distinguish between a statutory and non-statutory audit - Be able to discuss within an integrated case study whether an engagement is an audit, review, agreed upon procedure, or compilation, taking into account the level of assurance required by the client and whether this type of assurance is positive or negative	- Dynamic Auditing Chapter 5-3 to 5-15 - Auditing Notes Chapter 1	Structure of assurance pronouncements issued by the IAASB, International framework for assurance engagements Glossary - The standard setting process – The authority of

		- Understands the various types of assurance and non-assurance services available - Uses the entity's mission, vision, strategies, applicable legislation and stakeholder needs in order to identify and evaluate assurance requirements and options for the entity - Recommends assurance and non-assurance services appropriate to meeting the entity's needs.		auditing and assurance standards, practice statements and other pronouncements issued nationally and internationally - Different levels of assurance expressed for the different types of engagements and the legal implication for the auditor - ISA200 - Overall objectives of the Independent Auditor and the Conduct of Audit in Accordance with International Standards of Auditing - The role of public oversight boards in regulating the profession
	The auditors' documentation	- Draft a working paper in a scenario and include the minimal information that should be documented to comply with ISA230. - Evaluate a working paper and conclude whether the working paper includes all minimum information required to be documented in order to comply with relevant ISA's. - For each procedure performed, ensure that the documentation provides a clear link to significant findings or issues that arose during the engagement - Evaluate the overall adequacy of documentation	- Dynamic Auditing Chapter7-11 to 7-14	-

		- Prepare documentation with sufficient detail to support the nature, timing and extent of the further audit procedures performed and the results of the procedures - Design and document appropriate programmes of engagement procedures based on case study		
	Risk management process & internal control	- describe the factors justifying the need for an auditor's expert - describe the factors to determine the extent of reliance that can be placed on an auditor's expert - list things to consider when reaching an agreement with the auditor's expert - evaluate the adequacy of the work performed by the auditor's expert - consider implications of using an auditor's expert on the audit report	Dynamic Auditing 7	
Audit practice and quality	Audit practice and quality	- Understands the importance of quality control in the performance of engagements; - Designs, implements and manages an effective quality control system in the professional accounting firm that addresses the following areas: -Leadership responsibilities for quality within the firm -Ethical requirements -Acceptance and continuance of client relationships and specific engagements -Human Resources -Engagement performance -Monitoring - Responds to findings of inspections undertaken by the PAAB and the findings of internal reviews; - Ensures that the quality control system is effective in managing the legal liability of the firm to clients and third parties;	Dynamic Auditing Chapter 5-30 to 5-41	- ISQC1 – Quality controls for firms that performs audits and reviews of financial statements and other assurance and related service engagements - ISQC1 – Inspections by the IRBA/PAAB - ISQC 1 – Continuing professional development - ISA220 – Quality control for an audits of financial statement

		- Understands the role of public oversight boards in regulating the profession; and - Understand the need to supervise and review work of junior staff.		
Professional ethics	Code of professional conduct	- Understand, discuss and apply the conceptual framework approach of professional ethics in a practical scenario - Suggest appropriate safeguards in order to eliminate or reduce the threat to an appropriate level - Evaluate the compliance and non-compliance to the Codes of Professional Conduct in a practical scenario - Discuss the ethical implications for the actions of CA's in business, Management who is not CA's, RA's - Make suggestions on whether engagements may be accepted based on the ethical dilemmas within in a practical scenario - Understand the principles of the Code of Professional conduct and how it is applied - Make suggestions in respect of practical aspects in relation the Code of Professional conduct and how it is applied - Discuss compliance / non-compliance the Code of Professional conduct; and - Discuss compliance / non-compliance to the any ethical regulations	Dynamic Auditing Chapter 3-6 to 3-52	IEASB Code of Professional Conduct Zimbabwe Code of Professional Conduct PAAB Code of Professional Conduct [IRBA]
	By-laws and punishable offences	- Identify and explain improper conduct by a registered auditor	Dynamic Auditing Chapter 3-3 to 3-6	IRBA Rules Regarding Improper Conduct
Business Ethics (self study)	General ethics	- Uses an ethical reasoning process to: - Identify situations involving existing or potential ethical issues		

		- Clarify and use appropriate professional values for choosing or recommending ethical courses of action - Use all appropriate internal and/or external resources in resolving ethical dilemmas - Report on ethical issues to higher levels of management, legal or regulatory authorities or other when appropriate - Protects the public interest through: - identifying ethical dilemmas and makes decisions that ensure the public interest is paramount.		
Audit Profession Act	Audit Profession Act	- Identify, explain, evaluate, apply and advise on the requirements of the Auditing Professions Act in a practical case study - Evaluate compliance with the Auditing Professions Act requirements in a given practical case study - Make appropriate recommendations for compliance with the Auditing Professions Act in a given practical case study - Outline the possible liability an auditor can incur in the execution of his duties in the Auditing Professions Act; and - Describe the duties and offences of an auditor as imposed on him in the Auditing Professions Act.	Dynamic Auditing Chapter 1-3 to 1-9 Dynamic Auditing Chapter 6-14 to 6-16	PAAB Auditing Profession Act IRBA Auditing Profession Act Guide on reportable Irregularities in terms of the Auditing Professions Act
Legal and Statutory Requirements	Companies Act	- Identify, explain, evaluate, apply and advise on the requirements of the Companies Act in a practical case study - Evaluate compliance with the Companies Act requirements in a given practical case study; and - Make appropriate recommendations for compliance with the Companies Act in a given practical case study.	Dynamic Auditing Chapter 4-3 to 4-53	Companies Act

	Other legislation (basic awareness)	- Identify events of money laundering and respond thereon in terms of auditing regulations and international standards on auditing.	Dynamic Auditing 6-20 to 6-23	A Guide for registered auditors: Combating money laundering and financing of terrorism (MLTF)
Corporate Governance	Corporate Governance	- Understand and explain the recommendations of the KING IV Report and Code - Make practical recommendations in respect of Corporate Governance with specific reference to KING IV. - Understand the principles of the Code of Corporate governance and the KING IV report. - Make suggestions in respect of practical aspects in relation to corporate governance, more specifically the KING IV report; - Discuss compliance / non-compliance to KING IV; and - Discuss compliance / non-compliance to the Company's Act.	Dynamic Auditing Chapter 2-1 to 2-13 Auditing Notes Chapter 4	KING IV Governance in terms of the Companies Act
Control activities in business cycles	Internal controls: income & receipts cycle	- Reproduce the segregation of duties applicable to the credit sales cycle; - Reproduce the flow of information as well as the source documents applicable to the recording of credit sales transactions; - Reproduce the risks relating to each function within the cycle as well as the controls to address those risks for application to a case study; - To identify the weaknesses and make recommendations for the weaknesses identified in a case study relating to credit sales; - Reproduce the segregation of duties applicable to the receipts cycle;	Dynamic Auditing Chapter 2-13 to 2-40 Auditing Notes Chapter 10	

		- Reproduce the flow of information as well as the source documents applicable to the recording of receipt transactions; - Reproduce the risks relating to each function within the receipt cycle as well as the controls to address those risks for application to a case study; and - To identify the weaknesses and make recommendations for the weaknesses identified in a case study relating to receipts.		
	Internal controls: bank and cash cycle	- Reproduce the segregation of duties applicable to the Bank and Cash cycle; - Reproduce the flow of information as well as the source documents applicable to the recording of Bank and Cash transactions / Cash Sales; - Reproduce the risks relating to each function within the cycle as well as the controls to address those risks for application to a case study; - To identify the weaknesses and make recommendations for the weaknesses identified in a case study relating to Bank and Cash / Cash Sales; and - Identify the weaknesses and make recommendations for the weaknesses identified in a case study relating to Petty Cash.	Dynamic Auditing Chapter 2-13 to 2-40 Auditing Notes Chapter 10	
	Internal controls: expenses and payments	- Reproduce the segregation of duties applicable to the purchasing cycle; - Reproduce the flow of information as well as the source documents applicable to the recording of purchasing transactions; - Reproduce the risks relating to each function within the purchasing cycle as well as the controls to address those risks for application to a case study;	Dynamic Auditing Chapter 2-13 to 2-40 Auditing Notes Chapter 11	

		- To identify the weaknesses and make recommendations for the weaknesses identified in a case study relating to purchases; - Reproduce the segregation of duties applicable to the payment cycle; - Reproduce the flow of information as well as the source documents applicable to the recording of payment transactions; - Reproduce the risks relating to each function within the payment cycle as well as the controls to address those risks for application to a case study; and - To identify the weaknesses and make recommendations for the weaknesses identified in a case study relating to payments.		
	Internal controls: inventory (manufacturing)	- Apply the principles of the Sales and Purchasing Cycles for the sales/purchasing of inventory. - Describe the business risks associated with inventories (WIP/Job costing); - Describe the controls that an entity can implement to address these business risks; - Name and apply the following accounting principles in terms of IAS2 relating to inventories: - Cost - Cost formula - Net realisable value - discuss the annual stock take / inventory count in its entirety with specific reference to the planning and preparation as well as the client's written instructions for the stock taking exercise (Controls the client need to implement); - Identify the audit risks relating to specific types of inventory in a given situation / case study; and	Dynamic Auditing Chapter 2-13 to 2-40 Auditing Notes Chapter 12	

		- To identify the weaknesses and make recommendations for the weaknesses identified in a case study relating to inventory.		
	Payroll and personnel cycle	- Describe the different functional sections applicable to the salaries and wages system; - Describe the flow of information when salaries/wages transactions are recorded / captured; - Identify the risks that are relevant to each individual functional section as well as its control procedures, for application to a given situation; and - Identify weaknesses in a case study of a salaries and wages system and to recommend improvements.	Dynamic Auditing Chapter 2-13 to 2-40 Auditing Notes Chapter 13	
	Finance and investment cycle	- Describe the business risks associated with the finance and investment cycle - Describe the controls that an entity can implement to address these business risks; and - Identify weaknesses in a case study of an Investment and Finance cycle and recommend improvements.	Dynamic Auditing Chapter 2-13 to 2-40 Auditing Notes Chapter 14	
Control Activities and Information Technology	Computer auditing: review of risk assessment procedures/controls and audit procedures	- Perform risk assessment procedures in a case study - Assess risk of material misstatement on financial statement level as well as assertion level in a case study - Define significant risk, as well as the matters for consideration and the response of the auditor towards significant risks - Know in which circumstances according to ISA 315, should the auditor obtain an understanding of controls - Know the different components of an internal control system and apply in a case study - Know the different types of internal control activities and apply in a case study	Auditing Notes – Chapter 5/3-5/19; Auditing Notes - Chapter 5/25 – 5/28; Auditing Notes - Chapter 6/13 – 6/17; Auditing Notes - Chapter 7/14 – 7/20.	

		- Know the control objectives and to link them to control procedures in a case study - Know in which circumstances according to ISA 330, should the auditor perform substantive procedures and tests of controls - Know the difference between obtaining an understanding of controls and tests of controls - Understand the assertions applicable to classes of transactions and account balances, and link the assertions to audit procedures - Know the different methods of obtaining audit evidence and to integrate these methods with audit procedures for classes of transactions and account balances		
	Introduction to computer auditing / general controls	- briefly explain the difference between general and application controls; - name the benefits of IT controls; - discuss the relevance of manual controls in an IT environment; - name the different categories of general controls as well as the controls within each category; - briefly discuss the following general controls: - communication and enforcement of integrity and ethical values - commitment to competence - participation by those charged with governance - management's philosophy and operating style - know the organizational structure as well as the division of duties within the IT department; - know the division of duties between users and the IT department;	Dynamic Auditing – Chapter 9.1, 9.2, 9.3 Auditing Notes for SA Students – Chapter 8.2	ISA 315 ISA 330

		- describe the matters that will be addressed as part of human resource policies and practices in an IT department; - identify weaknesses in the control environment in a case study. - briefly discuss the controls regarding in-house developed system; - describe the system conversion controls; - discuss the involvement of the auditor with system development of a client with reference to IEASB's Professional Code of Conduct; - describe the aspects that will be addressed as part of project approval and project management; - briefly discuss the controls regarding a purchased package; - discuss, briefly, the advantages and disadvantages of packaged software; - describe the programme change controls; - to identify weaknesses in the system development process of a dummy client and suggest improvements for the weaknesses identified; - briefly discuss the principals on which the security policy should be based on; - name the matters that should be addressed as part of physical access control both for the data centre and for workstations; - briefly discuss the different levels of logical access controls; - identify weaknesses in access controls in a case study and recommend improvements thereon; - briefly discuss the system software and operating controls.		

		- briefly discuss the importance of documentation standards;		
	Application controls	- define application controls; - describe the control objectives of application controls in detail; - discuss how the different control activities can be implemented in an IT system; - describe the batch controls that will be applicable in a case study; - describe the application controls (automated and user) for the input/capturing of information, link each control with the control objective; - describe programmed edit checks and reconciliation tests; - describe the preventative and detective controls over output; - name examples of reports that can be generated by the computer system for review by users; - Describe the master file amendment controls in detail and indicate which control objective is addressed by each control.	Auditing Notes Chapter 8/26 Dynamic Auditing Chapter 14 Auditing Notes for SA Students – Chapter 8/33-8/41	
	Methods of processing / networks PC's/ERP/ Networks/ Database systems	- Discuss the security implications of using PC's as part of the audit process; - Identify and explain risks associated with a PC environment; - Describe the controls in a PC environment; - Discuss the audit approach in a PC environment; - Explain a ERP (Enterprise Resources Planning) system - Know the different types of networks and discuss the audit implications of networks;	Auditing Notes Chapter 9-3 – 9/8	

		- Describe the general controls that are of crucial importance in a database system environment; - Discuss the impact of a database system on the audit process.		
	advanced computer: EDI'S	- Describe the different components of an EDI transaction; - Identify and discuss the risks associated with EDI transactions; - Know the controls that should be implemented in an EDI environment; - Understand the effect of EDI on the audit process; and - Identify weaknesses and make improvements to an EDI system in a case study.	Dynamic Auditing Chapter 10 – section 1-5 Auditing Notes Chapter 9/11 to 9/16	
	Advanced computers: EFT'S	- Name and discuss the controls that should be implemented in an EFT environment; - Identify weaknesses and make improvements to an EFT system in a case study; and - Know the controls applicable to electronic fund transfers and apply in a case study.	Auditing Notes Chapter 9/16 to 9/20 Dynamic Auditing Chapter 10 – section 1-5	
	Advanced computers: internet/ bureaus	- Know and identify risks associated with the Internet in a case study - Know the controls that should be implemented in an Internet system - Know how a firewall operates - Name the aspects that should be considered when entering a contract with a service provider - Know the content of a service provider agreement (SLA) - Understand the audit implications when a client uses a services bureau.	Auditing Notes Chapter 9/21 to 9/29	ISA 600 ISA 620
The Audit Process		- Understands and apply the various stages of the audit process	Dynamic Auditing Chapter 5-15 to 5-22	Various standards

		- Links all study units done and understands were it fits into the big picture of auditing.		
Pre-engagement Activities	Phase 1	- Differentiate between assurance and non-assurance engagements; - Know and apply the professional requirements or prerequisites and responsibilities that applies with regard to initial engagements - Understand, identify and apply the required or prescribed procedures with regard to the responsibilities of the incoming auditor with regard to opening balances - Identifies and considers issues related to accepting an engagement and gathers and examines information pertaining to a potential client and engagement to assess whether or not there are significant threats to the adherence to ethical requirements and professional standards and legislation resulting from undertaking the engagement - Utilises the understanding gained of the elements of risk and the decision factors to evaluate the overall risk in accepting the engagement - Concludes on whether to accept the engagement - Follows prescribed procedures to accept the engagement and drafts an appropriate engagement letter for a new engagement - Recognises circumstances when a new engagement letter needs to be issued for existing engagements - Follows the procedures required by legislation or professional pronouncements to accept an appointment - Determine which set of criteria to apply to the subject matter being evaluated and assess the suitability of criteria for general-purpose financial statements and for other engagements.	Dynamic Auditing Chapter 8-3 to 8-9	IEASB Code of Professional Conduct ISQC 1 ISA 220 APA Companies Act - Auditor's appointment - Auditors' Removal, resignation and rotation - Auditors' Rights and restricted functions - Auditors' Duties ISA 200 Levels of Assurance ISA 210 ISA 300 ISA 600

Planning the audit (Phase 2)	Planning the audit: the process and risk assessment procedures (including analytical procedures)	- Understand the planning process - Formulate the Risk Assessment Procedures to be performed in order to obtain information for planning purposes - Discuss various Analytical Procedures that could be performed in order to identify risk	Dynamic Auditing Chapter 8-9 to 8-35	ISA 200 ISA 300 ISA 315 ISA 520 ISA 600
	Obtaining an understanding of the entity and its environment including internal controls	- Undertakes risk assessment procedures to obtain / update an understanding of the entity and its environment, including its internal controls. - Understand the components of which an understanding must be obtain.	Dynamic Auditing Chapter 8-11 to 8-18	ISA 315
	Consideration of ISA standards in planning the audit.	- Based on an understanding obtained, identifies the specific risks that could result in material misstatements due to fraud, error or non-compliance to laws and regulations of the subject matter. ISA 240 - Define the concept of “Fraud” - Define the concept of “Error” - Name 2 types of intentional misstatements that are relevant to the auditor. - Discuss the responsibility of the auditor and management for the prevention and detection of fraud; - Explain the procedures required by ISA240 that should be performed by the auditor during the risk assessment procedures. - Explain with reference to ISA240 the responses available to the auditor to respond to the assessed risk of material misstatement due to fraud. - Name the procedures the auditor should follow if potential fraud and errors are detected.	Dynamic Auditing Chapter 6, 7 and 14	ISA 240 ISA 250 MLFT All taxation Acts Companies Act ISA 550 ISA 580

		- Identify Conditions or events that may increase the risk of fraud and error whether due to fraudulent financial reporting or due to misappropriation of assets. - Name the 3 elements of the fraud triangle **ISA 250** - Discuss management's and the auditor's responsibility for compliance with laws and regulations; - Discuss the procedures to follow on discovery of non-compliance; and - Identify indicators of possible non-compliance with laws and regulations in a scenario.		
	Risk of material misstatement at the overall financial statement level	- Identify, describe and evaluate audit risks and the components it consists of - Describe the approach and methods that should be followed to consider/evaluate risk - Evaluate and conclude on the influence of error and fraud on the audit opinion - Identifies and assess the key risks in the performance of the engagement - Based on an understanding obtained, identifies the specific risks that could result in material misstatements of the subject matter, including fraud risk factors - Assess the risk of material misstatement in the subject matter at the overall and assertion levels	Dynamic Auditing Chapter 8-18 to 8-25	ISA 300 ISA 315 ISA 330
	Materiality	- Discuss all the relevant factors to take into account whilst calculating Planning and Performance Materiality - Calculate, with reasons, the Planning & Performance Materiality - Understand and Explain what "Clearly Trivial" means - Critically evaluate a Materiality calculation (done in working paper sometimes) done by someone else in terms of ISA320.	Dynamic Auditing Chapter 8-25 to 8-29	ISA 320

		- Assess materiality for the engagement - Identifies the users of the assurance engagement and their decision-making needs - Identifies the factors that affect materiality - Determine the materiality level for planning and performing the engagement		
	Risk of material misstatement at the assertion level (business cycles)	- Identify, describe and evaluate audit risks and the components it consists of - Describe the approach and methods that should be followed to consider/evaluate risk - Evaluate and conclude on the influence of error and fraud on the audit opinion - Based on an understanding obtained, identifies the specific risks that could result in material misstatements of the subject matter, including fraud risk factors - Assess the risk of material misstatement in the subject matter at the overall and assertion levels	Auditing Notes Chapter 10 – 14	
	Audit evidence, audit strategy, audit plan, audit responses	- Be alert to changes in circumstances and adjust procedures appropriately - Draw a conclusion as to whether each procedure performed meets its objective - Evaluate the sufficiency and significance of the evidence and/or results of analysis - Prepare information for timely discussion with management & TCWG - For a given set of circumstances, decide on: - the form, extent and quality of evidence required to support the assurance report, - The most efficient testing procedures (e.g. ToC and/or SP ToD and/or analytical procedures) to obtain the evidence	Dynamic Auditing Chapter 8-29 to 8-35	ISA 300 ISA 315 ISA 330

		- The need to make use of others (experts, internal auditors, other auditors, or the need to use CAATs) to gather evidence - Communicate the plan to appropriate key stakeholders (incl. TCWG) - Design and document appropriate programs of engagement procedures - Be alert to changes in circumstances not considered in the design of the engagement procedures and adjust the procedures appropriately - Name and discuss all the elements that should be included in the ***Audit Strategy*** *document* / memorandum (Planning document) - Name and discuss all the elements that should be included in the ***Audit plan*** (Risk assessment Procedures and Further Audit Procedures) - In a scenario design appropriate ***risk responses*** at the overall financial statement level - In a scenario design appropriate ***risk responses*** at the assertion level (Including discussions on the appropriate nature, timing and extent of risk assessment procedures & further audit procedures) - In a scenario discuss the appropriate ***Audit Approach*** (NTE of audit procedures) to be applied (could be overall or at assertion level) - OR Discuss the audit approach (but limit to only NATURE).		
	Audit approach (nature, timing and extent of further audit procedures)	- In a practical scenario suggest and discuss in detail the factors to consider for the most appropriate audit approach to be applied in a **manual control system** based on the risks identified;	Dynamic Auditing Chapter 8-30 to 8-34 Dynamic Auditing Chapter 12-9 to 12-12	ISA 300 ISA 330 ISA 500

		- In a practical scenario suggest and discuss in detail the factors to consider for the most appropriate audit approach to be applied in a **computerised control system** based on the risks identified;	Dynamic Auditing Chapter 13-4 to 13-6	
	Roll forwards / early verifications (timing)	- Design audit responses using interim testing/roll forward procedures/early verification for a given scenario - Design and document appropriate programmes of engagement procedures based on the considerations - Perform the procedures specified in the programme (e.g. analytical review of expenses) with due care and an objective state of mind - Modify the work plan as necessary - Draw a conclusion as to whether each procedure performed meets its objective - Evaluate the sufficiency and significance of the evidence and/or results of analysis - Identify, and design audit procedures to obtain sufficient, appropriate audit evidence surrounding related party transactions/balances/disclosures	Dynamic Auditing Chapter 13-11 to 13-14	
	Sampling (extent)	- Understand and discuss the risks related to sampling - indicate the **purpose** of audit sampling; **Define** the following concepts: - Sampling - Population, Sampling Unit - Error (For Test of Controls and For Substantive Tests of detail) - Tolerable error - Anomalous error / Misstatement - Statistical sampling - Stratification	Dynamic Auditing Chapter 11	ISA 530

		- Briefly describe the different methods of **selecting items**; - Name the factors you would consider when designing a sample; - Name the factors that will influence sample size in tests of controls as well as substantive procedures; - Briefly describe the different methods of sampling; and - Name the **steps** in the sampling process. - Perform a practical calculation and select the items using specific methods. - Critically evaluate a sampling selection that has already been performed.		
Internal controls in the audit process	Internal controls in the audit process	- Consider control risk in a case study - Describe control objectives and develop control measures in a case study - Understand ISA 610 and be able to apply the principles in a scenario - Know and understand the Components of internal control	Dynamic Auditing Chapter 12	ISA 315 ISA 330 ISA 265
Evolution and developments in Audit Theory and Practice	Evolution and developments in Audit Theory and Practice	- Postulates: behavioral postulates and functional postulates. - Internationalization of the auditing profession and - Developments of International Standards on auditing	The Philosophy of Auditing by R.K. Mautz and H.S. Sharaf	